CHAGEE

CHAGEE SINGAPORE

FORECAST THE PEAK, SHARE THE COUNTER

PREDICTIVE AND PHYSICAL AI: WHERE TO OPEN NEXT, AND WHAT THE GM DECIDES FOR THE BUSIEST HOUR

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01 Chagee in Singapore
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Where the supply chain is stable, and where it is not

03 The data trail
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When joining feels worth it · M2 the squad experience · M3 does it pay for itself



In Singapore, outlets run under 1 company, and every channel ends at 1 counter

One company, one data system: order and app data sit together

HOW A SINGAPORE CUP IS SOLD

GROUP NET REVENUE, FY 2025



Franchise **88%** Company-owned **12%**, growing fastest

SG Singapore outlets run under one company and one data system (Chagee source, anonymous)

In store	Walk-in (app order; tourists can order at the counter, to confirm)
Chagee app	order ahead, collect
Delivery	third-party delivery apps (e.g. Grab); no Chagee-run delivery

One counter every channel's cup is made here



44 outlets, ground-floor mall units by preference; kiosks in basements and MRT stations at entry in 2019

- **One company, one data system**

  Singapore outlets run under **1 company** and a **single data system**.

  Opportunity: A counter design or roster rule rolled out across outlets.

  Chagee source, anonymous

- **Chagee-App**

  An **order-ahead, self-pickup app**; in Singapore, **in-app ordering and delivery** followed the reopening queues. Chagee **collects personal and transactional data**.

  To confirm: the app's share of Singapore orders; whether searches or location are logged.

  · CHAGEE App Store listing · Vulcan Post, Oct 2024 · Chagee Form 20-F, FY 2025

- **Why Chagee?**

  A **fast-growing, playful** brand with **heavy app use**.

  Likely to have **rich order data** and **room for AI** to help the stores.

TAKEAWAY | Whatever the channel, every order ends at one counter. Peak hour is where an outlet wins or loses.

Supply is standard and pre-planned. Counter feels demand within minutes

Tea leaves travel one standard route. Only fresh milk and fruit are bought locally.

FOLLOW ONE CUP · STEP THROUGH



Source

Tea leaves from **Yunnan** through standard channels for every market

DATA CREATED

Shipments, lead times

Local: fresh milk, fruit

Warehouse

Separate central and regional warehouses keep storage and logistics costs down

DATA CREATED

Stock vs par, expiry

Outlet Counter

Machines: brew each cup from a scanned recipe
People: Ice, toppings and hand-over

DATA CREATED

Cups by hour

Wait times (to confirm)

Last Mile

Self-collect via app, or delivery via **third-party** apps such as Grab.
Riders wait at the same counter

DATA CREATED

Orders by channel

Rider wait (to confirm)

Customer

Orders through app and **collects** at the counter.

DATA CREATED

App orders, drop-offs

- **Stable upstream**
  Standard sourcing, regional warehouses and forecast-led restocking: Chagee already plans this part.
  YF Chuhai; Chagee Form 20-F
- **Volatile downstream**
  Demand at a counter **moves by the hour**: lunch, a mall event, rain, a new drink launch.
- **So we stop at the counter**
  Question is: How many people the counter needs this hour? And how do they work? (Not shipment)

TAKEAWAY | Chagee already plans its stock (public sources). People are deployed on local expertise, by the GM and outlet teams (Chagee source, anonymous); that is the call we model.

Orders are already recorded; the other inputs a forecast needs are candidates to confirm

Four data sources and six decisions they could feed. We follow the four that start in the app and end at the counter.

WHICH SOURCE FEEDS WHICH DECISION · STEP THROUGH

	Store and production	App and members	Delivery	Supply and context
Demand forecasts	Cups per hour by drink and channel	Member repeat demand	Orders per hour by platform	Weather, holidays, launches
Staffing and prep	Wait times, machine logs	Pickup no-shows	Hand-over peaks	Labour hours vs cups per hour
Replenishment	Drink mix per outlet	Launch trial rates	Group-order toppings	Ingredient use, expiry, par
Queue and capacity	Wait time, footfall vs sales	Store-select drop-offs	Rider wait at counter	Stock-outs at peak
Site selection	Sales density per outlet	"No store nearby", home and work	Distance and fee by postcode	Mall footfall, competitors
Menu and promos	Drink share, customisation	Trial and repeat, voucher uplift	Delivery basket mix	Collab calendar

White chips: core input; grey: refines it; red rows: our scope. Wait times, footfall, searches and location are to confirm.

- **Known and to confirm**

  Known: orders by channel and time (point of sale, app, Grab).

  To confirm: searches, customer location, wait times and walk-aways; some may need new logging.

- **The app is the link**

  Only the app ties a cup to a person. That needs consent and care under Singapore's data protection law (PDPA).

- **What we take forward**

  Demand forecast, then staffing, then queue capacity: one chain that ends with the GM's counter and roster.

TAKEAWAY | Orders by hour are recorded; searches, location, waits and walk-aways need confirming. Today, GM and outlet teams deploy people on local expertise (Chagee source, anonymous); we show how a forecast could support those calls.

New stores and the in-store peak, for one decision-maker: the GM

Two of our three ideation areas, enabled by two kinds of AI, each simulated with the trade-off the GM weighs.

FROM THREE IDEAS TO TWO · STEP THROUGH

NOT COVERED YET

Online retailing

Steer orders between app pickup and Grab by hour.

To be added. Needs platform fees and price tests we do not have.

OUR FOCUS · EXPANSION

New stores

Map where the next outlet adds the most cups, from app searches.

Rent, fit-out and payback stay future work.

Topic 3 · forecasting

OUR FOCUS · OPERATIONS

In-store operations

Forecast the peak, set the roster, share the counter.

Order data exists; the decision is daily.

Topic 3 · forecasting

Topic 5 · bucket brigades

AI · PREDICTIVE

Forecast demand: where a new outlet adds cups, and cups per hour for the roster.

AI · PHYSICAL

Automation and machines at the counter, from dispensers up to machines that make the drink.

OPERATIONS TOOLS, NOT AI

Bucket brigade and cross-training: how people share the hand steps.

The GM

General manager, Chagee Singapore

DECIDES	Where to open next, which counter steps go to machines, how many people work the peak, and how they share it
WHEN	Before a store opens, and when rosters are set
USES	The forecasts and the simulations
TODAY	People deployed on local expertise: the GM and outlet teams make the calls (Chagee source, anonymous)

SIMULATED, WITH THE TRADE-OFF THE GM WEIGHS

PREDICT	cups added vs cups moved from nearby outlets
SHARE	bucket brigade vs fixed posts
SPLIT · MACHINES	shorter wait vs higher cost
BENEFIT	orders kept vs extra labour

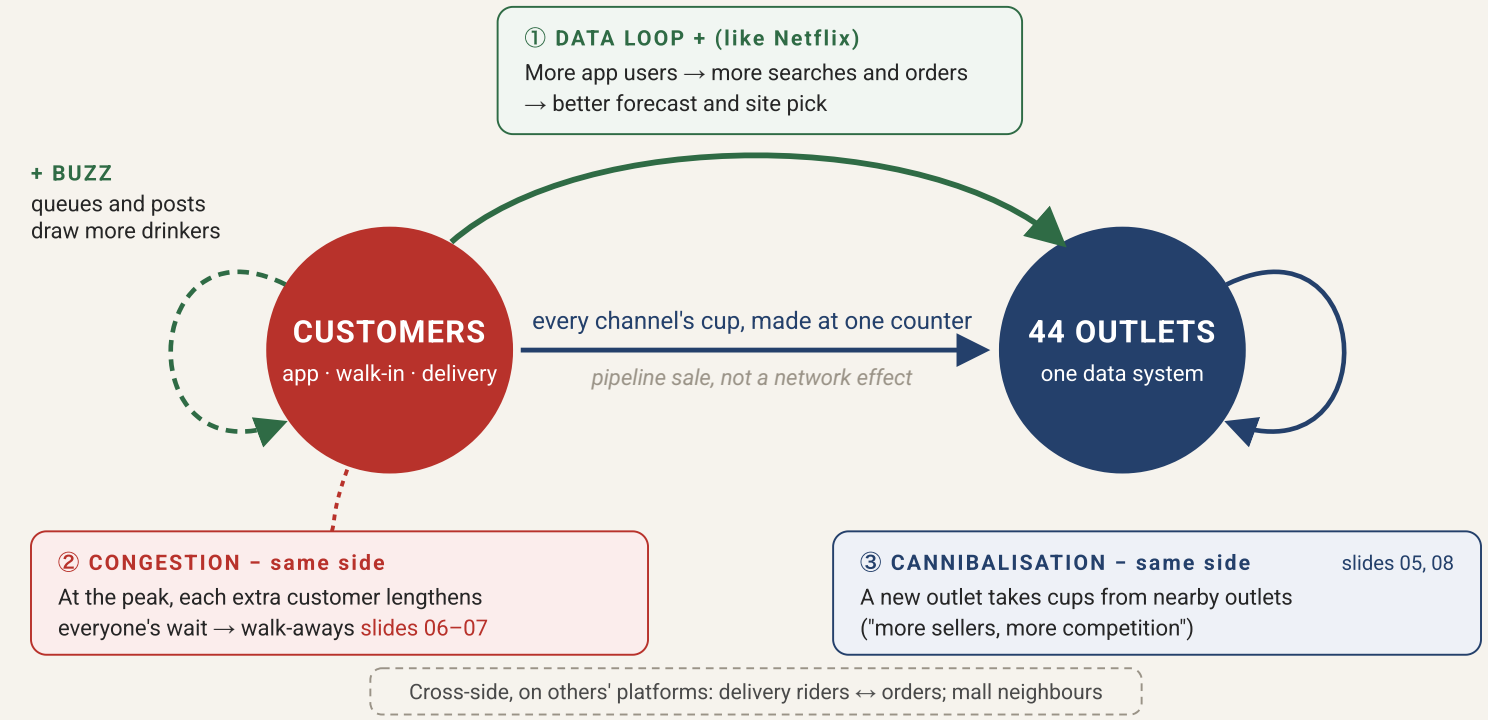
TAKEAWAY | Predictive AI says where to open and how many people the peak needs; physical AI changes which steps machines do; the bucket brigade decides who does the rest.

Course link · cross-side vs same-side network effects (eBay)

Chagee is not a two-sided platform; its network effects sit on one side, and our AI works on three of them

Our reading: Chagee sells its own tea, so there is no seller side to match. One data loop to grow, two crowding effects to cap.

WHERE CHAGEE SITS ON THE DIAGRAM · CLICK A LOOP



① GROW · PREDICTIVE AI

Feed the data loop

Why Chagee: app-first and member-led. Group-wide, **257 million** registered members (end of June 2026), and members with two or more purchases place **more than 78%** of orders (earnings call, Aug 2026; SG share to confirm).

Site pick: **+731** vs **+216** cups a day (synthetic).

② CAP · FORECAST + COUNTER

Absorb the peak crowd

Forecast crew plus a bucket brigade: event day walk-aways **54%** → **1.2%** of peak-hour orders.

③ CAP · SITE SCORING

Count cups added, not sold

Of 837 cups at the new site, **106** (13%) move from nearby outlets. The score subtracts them.

NOT OUR LEVER

Delivery apps and malls own the cross-side effects; their riders still count in our peak.

Takeaway | More customers help Chagee only if the map and the counter can absorb them: predictive AI grows the data loop; the forecast, counter design and site score cap congestion and cannibalisation.

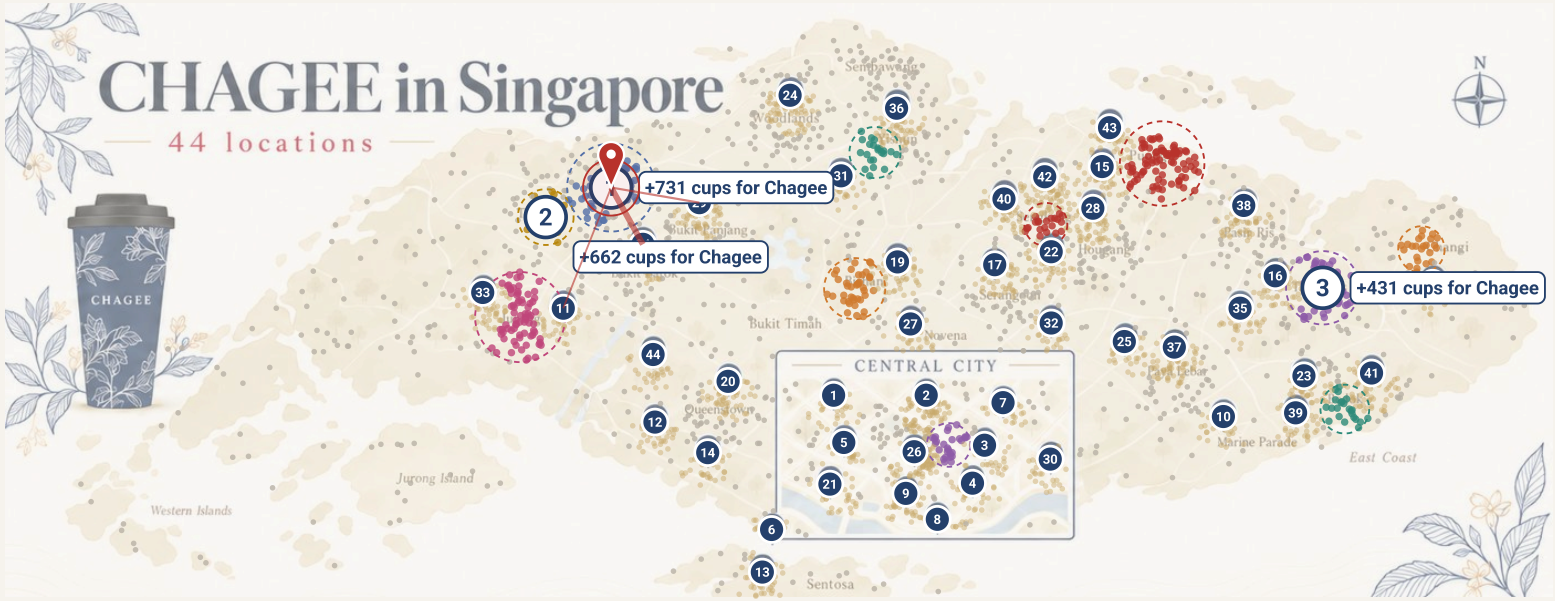
Course link · Week 3, Analytics and AI · the Flashion new-store forecast

Where would Outlet #45 add the most cups for Chagee?

Not what a new store sells, but what it adds once you subtract the cups it takes from nearby outlets.

CONTEXT Chagee is looking to expand rapidly in Singapore; how many stores it is going for is confidential.

NEW-STORE FORECAST



SUGGESTED SITE 1 · 2.7 KM FROM 34 · WEST MALL

Strong site: mostly new cups

+731 cups a day for Chagee

The new store sells 837 a day (1.5× an average outlet). 106 of those move from outlets nearby:

34 · West Mall, 2.7 km	**−77**
29 · Bukit Panjang Plaza, 3.3 km	**−28**

Peak hour 13:00: **92 cups** → **2 people** on today's counter (slides 06–07).

Synthetic app data on the team's map; outlet positions approximate (the central inset is enlarged). Not a trained model: the point is the method. Its five-year P&L: appendix.

WITHOUT AI our assumed baseline

Open outlet 45 beside 34 · West Mall: it sells **604** cups a day, but 64% are moved from outlets nearby, so **+216** for Chagee.

WITH AI our proposal

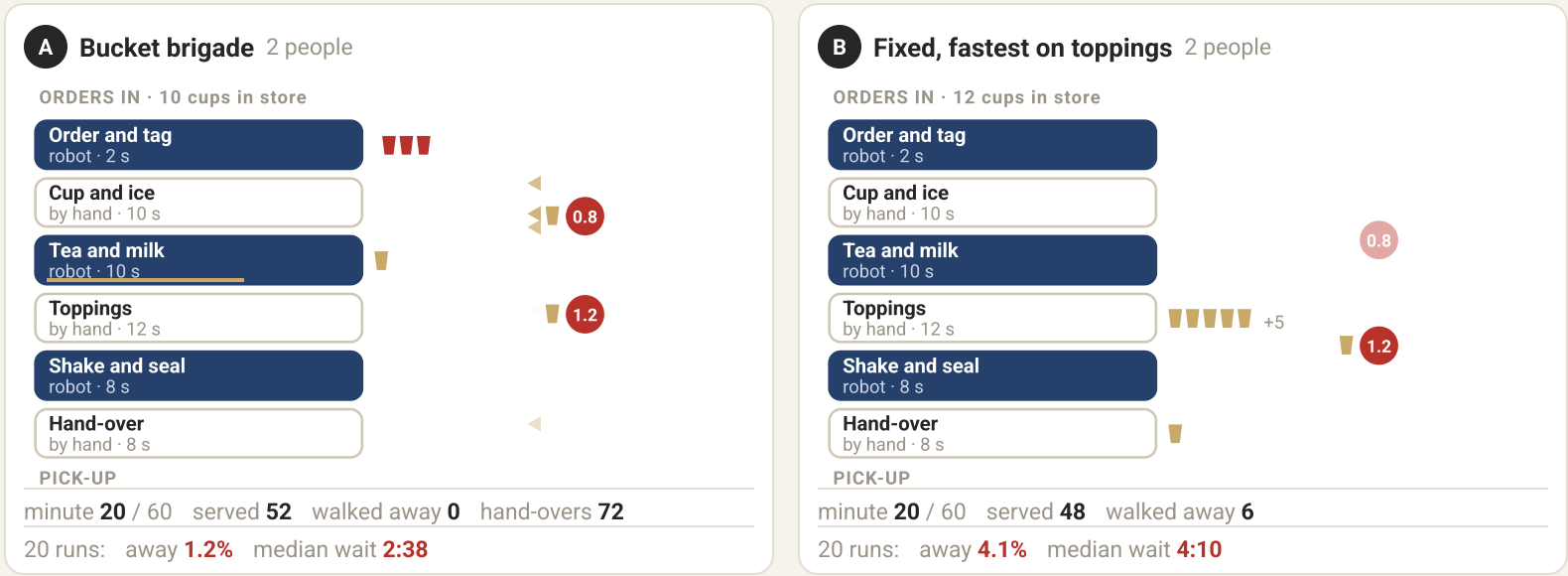
DBSCAN clusters synthetic app searches; the assumed demand model scores the same outlet 2.7 km away, near Choa Chu Kang: sells 837, **+731** for Chagee.

Course link · Week 5 and Week 6, equipment and technology · the bucket-brigade simulation

With a lean roster, a bucket brigade keeps cups moving without knowing who is fastest

Today's split (our scenario), two ways of sharing the hand steps, side by side. Pick what each side runs.

PEAK HOUR · SAME CUSTOMERS ON BOTH SIDES



Red circle = a person (number = speed) · gold ring = held back · faded = walking · ▲ = hand-over · navy = robot · red cup = waiting for a person

ALL THREE RULES, MEAN OF 20 RUNS

EVENT DAY, 2 PEOPLE	WALKED AWAY	MEDIAN WAIT
Bucket brigade	**1.2%**	**2:38**
Fixed, fastest on toppings	4.1%	4:10
Fixed, slowest on toppings	34.9%	9:47

At the people on side A. A customer leaves if the wait would pass 5 min. With spare people, a well-assigned fixed line is as good or a little faster.

Why lean is where it counts

Work flows to whoever is free, so the line balances itself (Topic 5). Fixed stations are only as good as the guess of who is fast.

Machines = automation, each side's equipment, held fixed. **AI = AI-assisted staffing**: the forecast sets the crew; customers and sharing rule unchanged. Event day · peak hour · mean of 20 runs · illustrative assumptions

WITHOUT AI INTELLIGENCE normal-day roster	**A** Bucket brigade: 1 person · away **53.8%** · wait 7:24 · S$372/day **B** Fixed, fastest on toppings: 1 person · away **54.2%** · wait 7:28 · S$372/day
WITH AI INTELLIGENCE forecast-informed roster	**A** 2 people · away **1.2%** · wait 2:38 · S$402/day · +1 staff, −52.6 pts away, +S$30 **B** 2 people · away **4.1%** · wait 4:10 · S$402/day · +1 staff, −50.1 pts away, +S$30

Course link · Week 5 and Week 6, equipment and technology

In our model, one tea-and-milk machine is the cheapest on every day type Pilot this against today's split.

PEAK HOUR · SAME CUSTOMERS

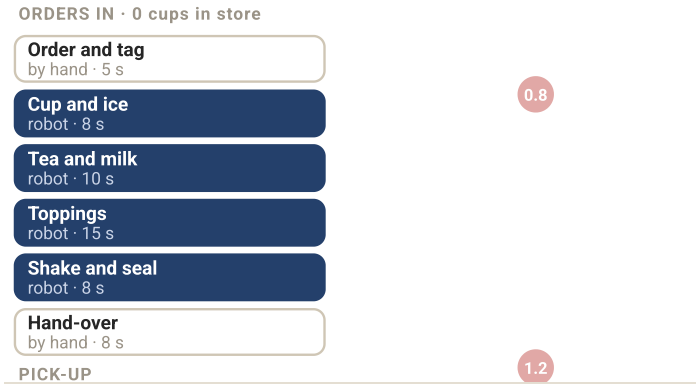
A All by hand 4 people, brigade



minute **20** / 60 served **57** walked away **0** hand-overs **156**

20 runs: away **0.0%** wait **1:25** **S$422**/day

B Machine-made drink (scenario) 2 people, fixed posts



minute **20** / 60 served **57** walked away **0**

20 runs: away **0.0%** wait **1:06** **S$465**/day

Navy = robot, white = by hand (click to switch) · red circle = a person · faded = walking · red cup = waiting for a person.

FIVE OPTIONS, MEAN OF 20 RUNS

EVENT DAY	PEOPLE	WALKED AWAY	WAIT	COST/DAY
Today's split (our scenario)	2	1.2%	2:38	S$402
Machine-made drink (scenario)	2 fixed	0.0%	1:06	S$465
All by hand	4	0.0%	1:25	S$422
All robots	–	0.0%	0:58	S$562
One machine (tea and milk) ✓	**3**	**0.2%**	**1:44**	**S$335**

✓ cheapest within the limit · fastest: All robots

Normal day, cost a day: One machine (tea and milk) S$305 (cheapest) · All by hand S$361 · Today's split (our scenario) S$372 · Machine-made drink (scenario) S$435 · All robots S$562.

Machines = automation, each side's equipment, held fixed. **AI = AI-assisted staffing**: the forecast sets the crew; customers and sharing rule unchanged. Event day · peak hour · mean of 20 runs · illustrative assumptions

WITHOUT AI INTELLIGENCE normal-day roster	**A** All by hand: 2 people · away **40.1%** · wait 5:33 · S$361/day **B** Machine-made drink (scenario): 1 person · away **7.2%** · wait 6:26 · S$435/day	
WITH AI INTELLIGENCE forecast-informed roster	**A** 4 people · away **0.0%** · wait 1:25 · S$422/day · +2 staff, −40.1 pts away, +S$60 **B** 1 person · away **7.2%** · wait 6:26 · S$435/day · the forecast adds no one here	

GM DECISION Pilot one tea-and-milk machine against today's split (our scenario): in our model S$305–335 a day against S$372–402. That holds only while a machine unit costs more than about S$905 a month (same rate for its 1 unit and the split's 3; wage, volume and crews held fixed). We assume S$1,909; Chagee's real cost is unknown.

 New-market worked example · Australia · scenario assumptions

No Chagee sales history is not the same as no data: profile each area on what a new market can measure

Archetype candidate areas in one Australian state capital, standing in for real suburbs until the data is pulled. We assume Chagee has no operating history there.

CANDIDATE-AREA PROFILES · CONSISTENT FEATURES, EVERY AREA

FEATURE	STANDS IN FOR	A	B	C	D	A REAL VALUE WOULD COME FROM	VALUE HERE
Residents within 1 km	proxy walk-in demand from people living nearby	12k	18k	25k	20k	national census, usual residents by small area	assumption
Workers within 1 km	proxy weekday lunch and after-work demand	90k	20k	12k	5k	census place-of-work counts	assumption
Tertiary students within 1 km	proxy the young, app-first customer base	15k	40k	5k	2k	university and TAFE enrolment by campus	assumption
Household income index	proxy willingness to pay for a premium tea	115	80	95	90	census median household income	assumption
Transit access	proxy footfall past the counter	0.95	0.75	0.70	0.35	public-transport timetable data, services per hour at the nearest stops	assumption
Competitors within 500 m	proxy rival bubble-tea and cafe supply (lowers the score)	9	6	4	2	business listings or a map-places count	assumption
Rent, A$ a month	proxy local cost (lowers the score)	A$22,000	A$12,000	A$10,000	A$8,000	retail lease listings or an agent quote	assumption

Areas (archetypes): A CBD office core · B University precinct · C Suburban rail interchange · D Outer-suburb shopping centre

FOUR KINDS OF INPUT

Sourced observation none yet: no Australian data retrieved for this deck

Proxy what each feature stands in for, such as workers for weekday demand

Scenario assumption every value in the table

Unavailable before opening; left out, below

LEFT OUT · NEEDS CHAGEE ACTIVITY

- **Chagee app searches nearby**: needs Chagee app users in the market
- **Delivery orders from the area**: needs Chagee on the local delivery platforms
- **Distance to the nearest Chagee outlet**: there is none yet
- **Sales of existing Chagee outlets nearby**: there are none yet

Missing is unknown, not zero

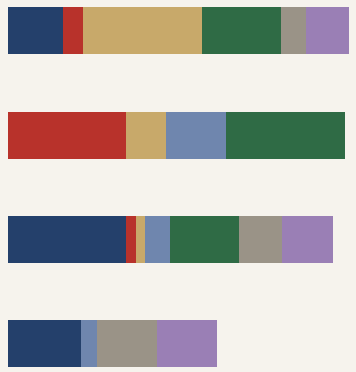
No area has app searches or delivery orders yet. Set to zero, they would read as no demand; left out, the areas are compared only on what all of them have.

WHAT IS AI HERE Nothing yet. This is the data step the models on the next slides need; every value stays a scenario assumption until census and market data are pulled.

New-market worked example · Australia · scenario assumptions

B, A and C can each rank first as the weights move; the score shortlists areas, it does not forecast their sales

SUITABILITY SCORE OUT OF 100 · ILLUSTRATIVE WEIGHTS



B · University precinct
rank 1–3 across 15 weightings · first in 6

52 cannibalisation 0%

A · CBD office core
rank 1–3 across 15 weightings · first in 6

52 cannibalisation 0%

C · Suburban rail interchange
rank 1–3 across 15 weightings · first in 3

50 cannibalisation 0%

D · Outer-suburb shopping centre
rank 4 across 15 weightings · first in 0

32 cannibalisation 0%

Residents · Workers · Students · Income · Transit · Competitors · Rent · bar = score; rank range across the weight check

DEMAND SCENARIOS, CUPS A DAY · THE SAME FOR EVERY AREA

Low 278 Base 556 High 833

A placeholder scale: our Singapore per-outlet volume assumption, reused. With no calibration from real outlets, the score cannot turn into cups, so every area faces this range.

WEIGHTS USED

Residents 1.00 · Workers 1.00 · Students 1.00 · Income 0.50 · Transit 1.00 · Competitors 0.50 · Rent 0.50. Competitors and rent count against.

WEIGHT CHECK · 15 WEIGHTINGS

Each weight dropped, then doubled, one at a time. **B** first in 6, **A** first in 6, **C** first in 3, **D** first in 0. The top spot is not robust: treat the leaders as a shortlist.

WITH REAL OUTCOMES · SUPERVISED LEARNING

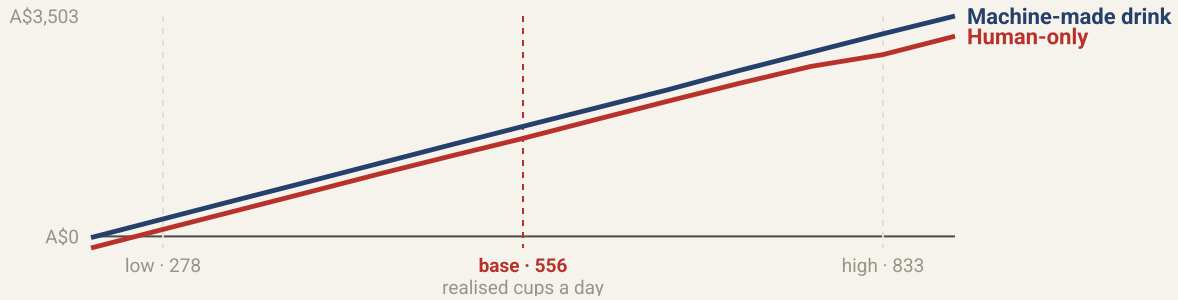
If outlets in existing markets had real sales, with these same features measured around each, a supervised model could learn the weights instead of us choosing them, tested on markets it has not seen. Slide 08b's model is trained on synthetic Singapore data: **not validated for Australia**, and not used here.

Illustrative. Archetype areas and scenario assumptions: not Australian data, not Chagee data.

New-market worked example · Australia · A$ scenario assumptions

With our A$ assumptions, machine-made drink holds up best in the worst case; human-only wins if a machine unit costs more than about A$3,258 a month

OPERATING CONTRIBUTION, A$ A DAY, YEAR AVERAGE · WITH AI STAFFING, EXACT FORECAST



EVENT DAY, BASE DEMAND (556 CUPS)	PEAK CREW	MEDIAN WAIT	WALK AWAY	A$ A DAY
Human-only · no machines				
Without AI · one crew all day	2	5:33	40.1%	A$1,766
With AI · forecast −30%	3	4:28	10.2%	A$2,139
With AI · forecast exact	**4**	**1:25**	**0.0%**	**A$2,218**
With AI · forecast +30%	5	1:08	0.0%	A$2,146
Machine-made drink · 4 machine units				
Without AI · one crew all day	1	5:51	5.4%	A$2,448
With AI · forecast −30%	1	5:51	5.4%	A$2,448
With AI · forecast exact	**1**	**5:51**	**5.4%**	**A$2,448**
With AI · forecast +30%	2	1:18	0.0%	A$2,491

SHOWN

Event day, base demand, forecast exact in the band. Wage A$36, machine unit A$2,000 a month, rent A$12,000 a month (University precinct).

BREAK-EVEN, CUPS A DAY · AREA B

Human-only 268 with AI, 267 without; **Machine-made drink** 236 with AI, 235 without. Normal day, no walk-aways; low scenario 278.

PREFERRED SETUP · WORST CASE

Worst year-average day, any scenario and forecast error: human-only **A$108**, machine-made drink **A$276**. **Machine-made drink** is safer; the two cross at a machine unit of about **A$3,258** a month (now A$2,000); they do not cross within the wage range. With an exact forecast, machine-made drink leads at low, base and high demand.

Machines = automation: equipment sized before opening, held fixed. **AI = AI-assisted staffing**: the forecast sets the crew; realised demand unchanged. Event day, base demand · peak hour · 20 runs · illustrative

WITHOUT AI INTELLIGENCE
one crew, all day

Human-only: 2 people · away **40.1%** · wait 5:33 · A$1,766/day
Machine-made drink: 1 person · away **5.4%** · wait 5:51 · A$2,448/day

WITH AI INTELLIGENCE
forecast roster

Human-only (forecast exact): 4 people · away **0.0%** · wait 1:25 · A$2,218/day
· +2 at the peak, +4 staff hours, +A$452
Machine-made drink (forecast exact): 1 person · away **5.4%** · wait 5:51 · A$2,448/day
· same crew: the forecast changes nothing here

New-market worked example · Australia · scenario assumptions

Pilot one machine-made drink counter in the University precinct, then let the pilot's own data decide the next step

RECOMMENDATION · CONDITIONAL

Where: the University precinct (B)

First at our weights; B, A and C are the shortlist. No own-store cannibalisation.

Setup: machine-made drink, AI staffing

Best worst case, A$276 a day against A$108 for human-only.

Holds only if

- a machine unit costs under about A$3,258 a month
- volume lands in the placeholder range, 278 to 833 cups a day; break-even is about 236
- the A$ wage, price and rent hold
- the forecast misses by no more than 30%

WHAT THE PILOT MEASURES, AND WHAT IT UPDATES

MEASURE	HOW	UPDATES
Orders, cups a day	till and app records, daily	the placeholder low, base and high range
Hourly demand	order times by hour, by day type	the hourly shape and peak the roster is built on
Conversion, where measurable	store-locator views or footfall against orders	the first link from score to cups
Service times	order to hand-over, per station	station seconds in the counter simulation
Labour needed	crew against waits and walk-aways each hour	the staffing rule and minimum crew
Machine cost and uptime	the lease quote, downtime log	the A$ machine cost and the setup choice

Then rerun: slide 8B with the area's real outcome, slide 8C with real demand and times. Once several outlets trade, outcomes can train the supervised model; until then, weights stay a judgement.

EVIDENCE TO ACT · HELD 4 WEEKS IN A ROW

Example result, illustrative: 556 cups a day, 0.0% peak walk-aways, a quote of A$2,000.

- **Keep the pilot running.** 556 cups a day against about 236 (machine-made drink, University precinct).
- **No extra staff.** Peak walk-aways 0.0% against the 2% limit.
- **Keep machine-made drink.** Quote A$2,000 against the flip at about A$3,258 a month.
- **Open the next outlet, CBD office core.** It keeps 486 cups after 12.5% cannibalisation, against about 301 to break even.

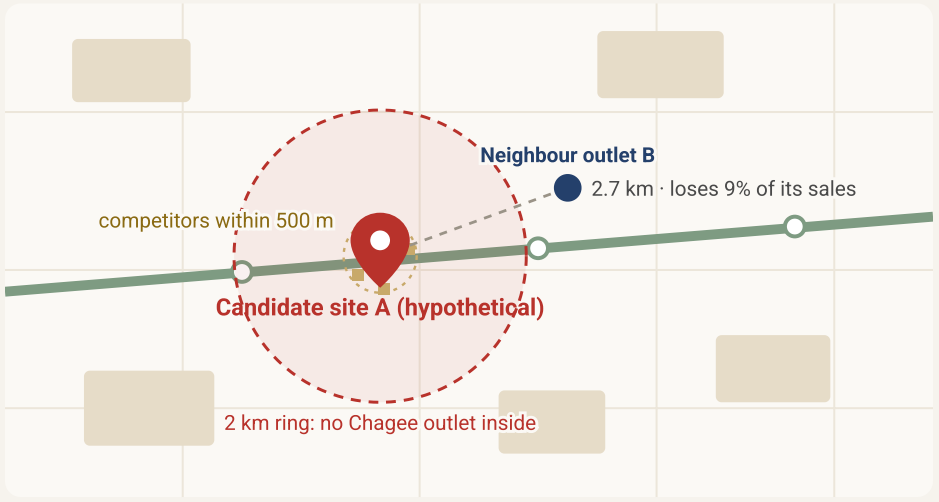
EXPAND WHEN the pilot clears break-even for 4 weeks in a row, and the next area, the CBD office core, still clears it after losing about 13% of its cups to the pilot. Every figure here is a scenario assumption until the pilot replaces it.

Extension: where this scales next. Not included in the S$ benefit.

Four scores for every location

Corporate drops a pin; the model rates it on four things (illustrative). Decision-maker here: corporate expansion planning, not the GM.

SCHEMATIC MAP · HYPOTHETICAL PINS



Demand score HAND-SET — 84
Residents, workers and transit riders within reach, plus footfall.

Delivery demand score HAND-SET — 78
Orders from the area on third-party delivery apps.
All Chagee delivery goes through third-party apps (anonymous Chagee source, to confirm), so we use area demand, not "served from a farther outlet". Whether the platforms share this data is to confirm.

Competition score HAND-SET — 61
Bubble-tea and cafe outlets within 500 m; dense competition lowers the score, a few prove demand.

Cannibalisation factor COMPUTED · SLIDE 05 ENGINE — −13
Site A: 13% of its cups would move from existing Chagee outlets; neighbour outlet B loses 9%. Deducted so the result is net to Chagee.

Site score WEIGHTED — 76
Demand 50%, delivery 20%, competition 30% (hand-set weights).

ATTRIBUTES THE MODEL TAGS TO EACH PIN residents and workers within 1 km · MRT and bus tap-ins · footfall · delivery orders from the area · competing outlets within 500 m · Chagee outlets within 2 km · rent per sq ft · staff needed at peak

WHAT IS AI HERE Scoring a pin from its attributes would be a supervised model trained on outlets' results: a production idea. Here the three scores are set by hand, and the cannibalisation factor is computed by the slide 05 engine on synthetic data. Slide 08b runs the supervised model.

Illustrative. Synthetic data, not Chagee data. Chagee's opening history is internal and we do not have it.

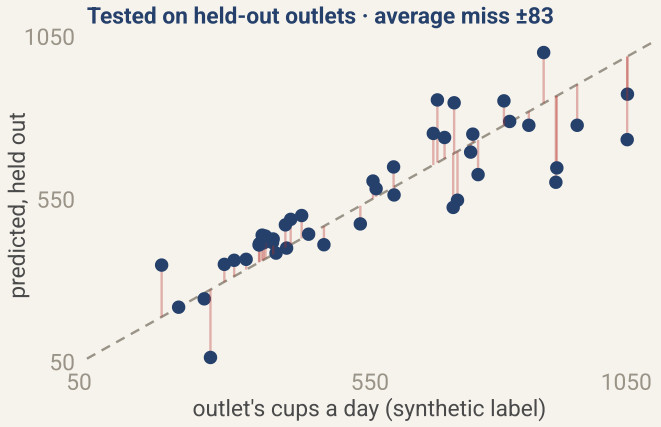
Extension: where this scales next. Not included in the S$ benefit.

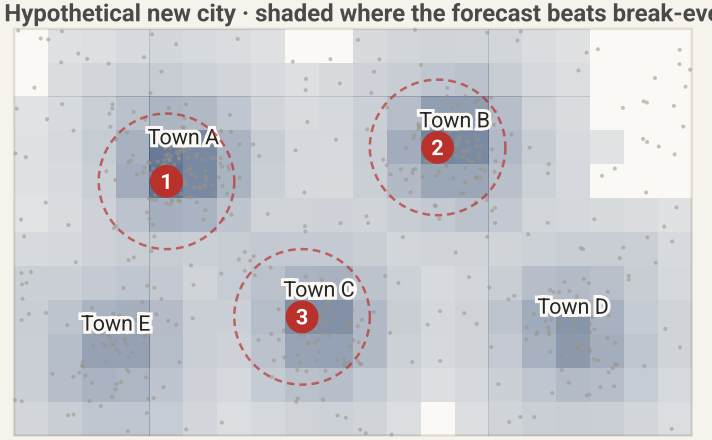
Trained on Singapore's outlets, the model picks where to open in a city where Chagee has no data yet

Supervised learning: keep only the inputs a new city has, test the model on outlets it has not seen, then let it score every spot in a hypothetical city (illustrative, synthetic).

TRAIN ON 44 OUTLETS · TOGGLE THE INPUTS

- ☑ **People within reach** — NEW MARKET: HAS IT
- ☑ **Distance to a town centre** — NEW MARKET: HAS IT
- ☐ Delivery-area demand — NEW MARKET: TO CONFIRM
- ☐ Unserved app searches — NEW MARKET: NONE
- ☐ Chagee outlets nearby — NEW MARKET: NONE
- ☐ Distance to nearest Chagee outlet — NEW MARKET: NONE
- ⬚ Competitors within 500 m — NOT IN OUR DATA
- ⬚ Rent per sq ft — NOT IN OUR DATA





TESTED ON OUTLETS IT HAS NOT SEEN

±83 cups a day, average miss

R^2 0.76 with 2 inputs

All inputs (Singapore)	±41 · R^2 0.95
New-market inputs only	±83 · R^2 0.76
No inputs: guess the average outlet	±197

WHERE TO OPEN IN THE NEW CITY

1. Town A: ≈ **1,090** ± 83 · **above break-even even at 1,007** · **beyond what it learned**
2. Town B: ≈ **959** ± 83 · **above break-even even at 876**
3. Town C: ≈ **887** ± 83 · **above break-even even at 804**

Cups a day, forecast ± average miss. Break-even ≈ 275 at Singapore costs (slide 09), a stand-in. Picks ≥ 2 km apart.

WHAT IS AI HERE Supervised learning (ridge regression) from site attributes to cups a day. The labels are the slide 05 engine's synthetic outlets, so the fit flatters; Chagee's real opening history would fit worse. Using Singapore to score another market assumes its customers behave alike: check against the first outlets' actuals.

Illustrative. Synthetic data, not Chagee data. Chagee's opening history is internal and we do not have it.

Extension: where this scales next. Not included in the S$ benefit.

From pin to net profit

Six steps from a pin to a go / no-go, on profit net to Chagee overall (illustrative). Decision-maker here: corporate expansion planning, not the GM.

1 Pin a location
Corporate clicks a point on the map.
NOT AI

2 Tag attributes
People, transit, footfall, delivery, competitors, outlets nearby, rent.
DATA

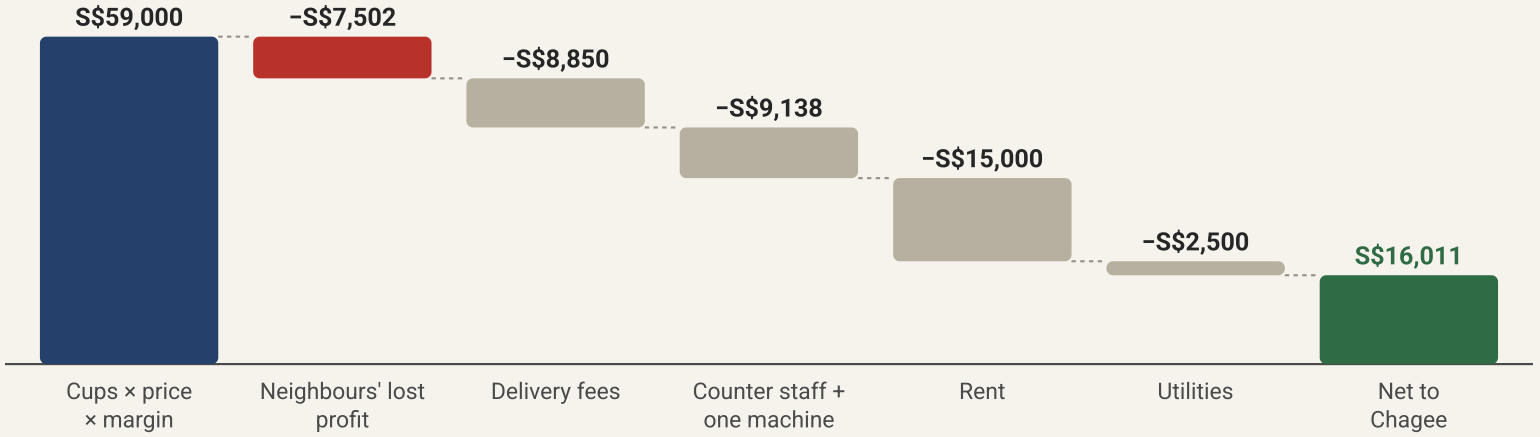
3 Four scores
Demand, delivery, competition, cannibalisation (slide 08).
AI · SUPERVISED MODEL

4 Find look-alikes
Anonymised outlets (Outlet 12, Outlet 27): their cups a day, what neighbours lost.
AI · SIMILARITY SEARCH

5 Forecast net profit
Cups a day, running cost, minus the profit neighbours lose.
COMPUTED BELOW

6 Decide
Open, pilot or skip. Actuals feed back: continual learning.
AI · CONTINUAL LEARNING

NET PROFIT TO CHAGEE, A MONTH · SITE A, TOP APP-SEARCH CLUSTER



At 278–833 cups a day: **−S$3,506** to **S$34,624** a month. Neighbour outlet B, 2.7 km away, loses 9% of its sales. Delivery fees: 30% of cups × 30% commission. Counter: the one-machine setup, normal-day roster (counter model).

STEP 6 · RECOMMENDATION

Pilot

positive at 556 cups a day, negative at 278, the low end: test it before a full lease.

Site score **76 / 100 (slide 08)**
Payback **≈ 25 months on S$400,000**

A strong-demand site can still fail if rent or staffing is too high, or if it mostly takes sales from our own neighbours.

In practice this needs Chagee's opening history. With about 44 outlets in Singapore the model must stay simple (few attributes, ranges not point values).

Illustrative. Synthetic data, not Chagee data. Chagee's opening history is internal and we do not have it. Cups a day, price and margin are the benefit slide's (slide 11); rent, delivery, utilities and set-up cost are assumptions, not Chagee data.

 TBC · DRAFT, TO BE CONFIRMED

Four decisions for the GM, each from a simulation, then a pilot to test them

	DECISION	WHY, FROM THE MODEL	REVISIT WHEN
1 **Where to open** slide 05 · DBSCAN + assumed demand model	**Open where app searches cluster, not beside an existing outlet.**	**+731** against **+216** cups a day for the same new outlet. Synthetic app-search data: this shows the method, not a finding about real outlets.	Rerun on Chagee's app logs, if searches and location are recorded, before any lease.
2 **What to automate** slide 07 · physical AI	**In our model, one tea-and-milk machine is the cheapest on every day type; pilot it against today's split (our scenario).**	**S$305–335** a day against S$372–402. The two cost the same at about **S$905 a month per machine unit** (1 unit against 3), with wage, volume, station speeds and crews held fixed; we assume S$1,909. Amacha's S$10,000 is a one-off price; without machine life, upkeep and financing we cannot turn it into a monthly cost.	When Chagee's real machine cost is known.
3 **How many people** slides 06, 11 · forecast + economic rule	**Economic rule: add a person on event days, not on busy days.**	With the one machine: peak crew 2 → **3** on event days; 2 on busy days, where an extra person costs more than the orders it keeps.	When the forecast peak moves.
4 **How to share** slide 06 · operations	**Test a bucket brigade against fixed posts for the hand steps.**	In the recommended setup (one machine, 3 people, event day): **0.2%** walk away with a brigade, 0.4% with well-assigned fixed posts, 22% with badly assigned ones; median wait 1:44 against 2:18.	Fixed posts once there is spare staff.

- **Pilot in 3 outlets**

  Shadow forecast only | **Roster** economic rule | **Machine** one vs today's split

  KPIs: cups per labour hour, wait time and walk-aways at the peak. Compare forecast and actual cups weekly.

- **Limits we know**

  All figures are illustrative assumptions, not Chagee data. Machine costs and speeds are assumed; breakdowns and breaks are not modelled.

- **To confirm with Chagee**

  The real machine cost per unit, whether outlets log wait times and walk-aways, and how today's local staffing calls compare with the forecast.

ASSUMED BASELINE illustrative — One machine and a flat crew of 2 every day: **23%** of event-day peak orders walk away.

PROPOSED SCENARIO in our model — The forecast and the economic rule add a person on event days only (2 → 3): **0.2%** walk away; busy days stay at 2 (0.1%).

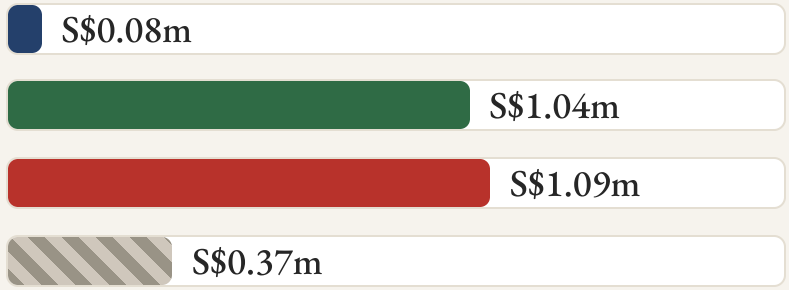
 TBC · DRAFT, TO BE CONFIRMED

In our model, about S$1.09m a year across 44 outlets against an illustrative baseline, almost all from one machine's labour saving

Modelled avoided costs on stated assumptions, not demonstrated savings and not savings against Chagee's actual operations, where the GM and teams staff on local expertise. The pilot compares one machine with today's split (our scenario).

PROFIT A YEAR, ALL 44 OUTLETS · ECONOMIC RULE THROUGHOUT

AGAINST THE ILLUSTRATIVE ALL-HAND BASELINE (FLAT NORMAL-DAY ROSTER)



PILOT COMPARISON: THE PROPOSED SCENARIO AGAINST TODAY'S SPLIT (OUR SCENARIO), BOTH ON THE ECONOMIC RULE



Profit = orders kept × price × margin, plus labour saved, minus machine cost. Calendar: 104 busy days (weekends) and 11 event days (public holidays) a year, an illustrative definition. Baseline: all by hand, the normal-day crew every day. Peak hour only, so orders kept are a floor. Every figure, range and both crew rules: appendix.

PHYSICAL AI · ONE TEA-AND-MILK MACHINE

Most of the benefit: labour

Lets the roster drop from 2 people to 1 in the off-peak hours: **S$1.04m** a year after the machine's cost.

FORECAST + ECONOMIC RULE

Adds event-day orders on top of the machine

Adds a person on event days only (2 → 3), keeping about 35 more orders per outlet that day: 390 a year, **S$0.05m** across Singapore. On its own, all by hand: S$0.08m.

READ WITH CARE

The big number rests on one assumption

The minimum crew, 2 by hand and 1 with machines, is ours. Without it, S$1.09m falls to **S$0.37m**. The pilot arm beats today's split by S$1.22m: more than the headline, because today's split is itself S$0.14m below the baseline.

ASSUMED BASELINE
illustrative

Flat normal-day roster, all by hand: about **1,291** peak-hour orders a year walk away per outlet.

PROPOSED SCENARIO
in our model

Both levers, one run: **1,278** kept a year per outlet, profit **S$1.09m** across 44 outlets (S$0.37m without the minimum-crew rule).

 Candidate chapter | Course link · Topic 8, network effects

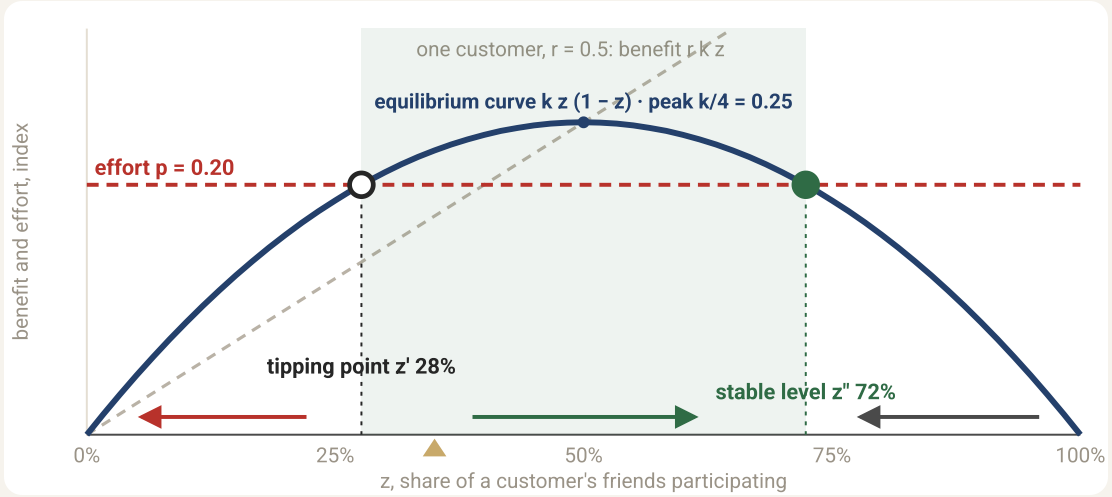
With a social feature, joining pays off only once enough friends are on; below the tipping point, participation shrinks

A network-effects analytics model, not AI. Every number is an illustrative index, not Chagee data. Friend-dependent value is our hypothesis about the proposed social features, not about membership as a whole.

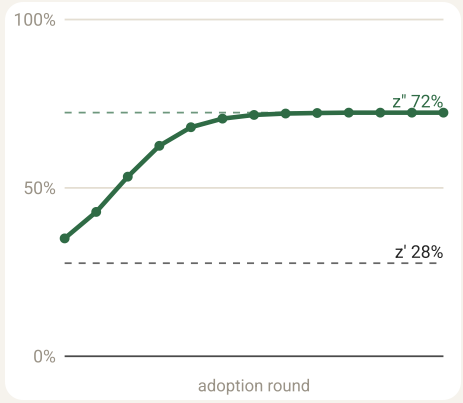
BENEFIT AGAINST EFFORT · ILLUSTRATIVE INDEX

Join when **perceived benefit ≥ effort** | One customer: **r × k × z ≥ p**

Equilibrium, interest r = 1 − x across customers: **p = k z (1 − z)**



PARTICIPATION, ROUND BY ROUND



SHOWN

Effort score 0.20 (an illustrative index, not money), value of friends k 1.00, starting participation 35%.

THE SYMBOLS

- **r** individual interest, from none to full
- **k** value of friends participating
- **z** share of a customer's friends participating
- **p** effort of joining or progressing

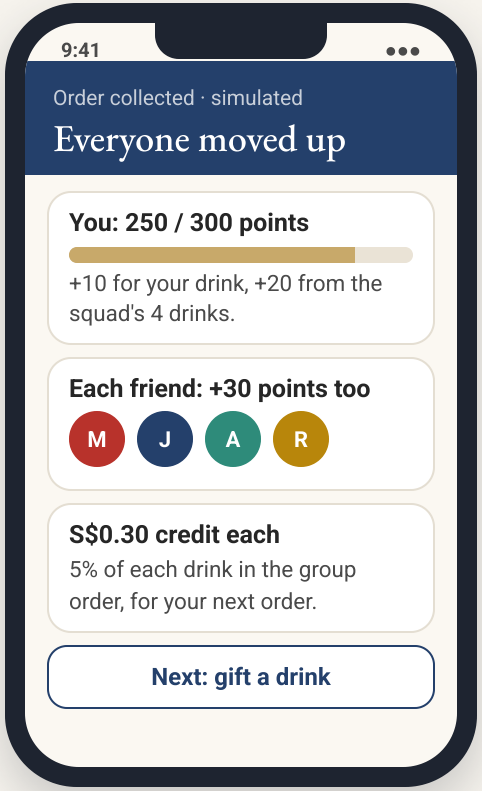
TAKEAWAY | Tipping point **28%**, stable level **72%**. Starting at 35%, participation rises to about **72%**. Illustrative.

 Candidate chapter

Squads make friends' orders count for everyone: our hypothesis is that this raises the value of friends and lowers the tipping point

PROPOSED EXPERIENCE — ILLUSTRATIVE

1. See your progress and start a squad
2. Invite friends from the share sheet
3. Friends join and add to a group order
4. Collect the order: everyone's progress moves
5. Gift a drink to a friend



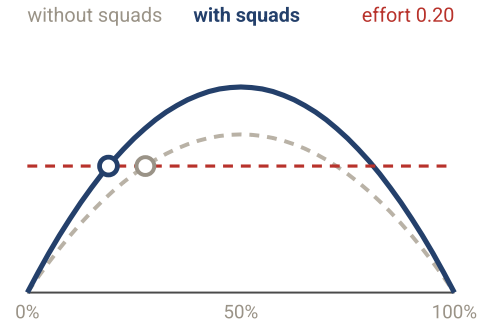
PROGRESS
Everyone in the squad: your drink gives you 10; each drink in the order gives every member 5.

WHY IT MATTERS
The reward: 5 points a squad drink to every member, and 5% credit on each group-order drink.

Our illustrative rules, used throughout this chapter; not Chagee's membership rules, which are to confirm.

FROM THE APP TO THE MODEL · ASSUMPTIONS TO TEST
Shared benefits are hypothesised to raise **k**, the value of friends participating. Simpler progression or a launch incentive may lower **p**, the effort. Not measured effects.

WITHOUT SQUADS / WITH SQUADS



TAKEAWAY | At M1's effort of **0.20**, squads (assumed k 1.00 → 1.30) would move the tipping point from **28%** to **19%**: fewer friends need to be on before joining feels worth it. Assumptions to test, not measured effects.

The group-order credit pays for itself only once members add enough orders, because it is also paid on orders they would place anyway

PER MEMBER A MONTH, AFTER CREDITS · S$ · ILLUSTRATIVE



SHOWN
Credit 5.0% of the S$5.90 price; 2.0 group orders a month anyway; margin 60% (band 50%–70%).

THE PILOT · SINGAPORE ONLY
Matched outlets, squads on against squads off. Measure tier progression, incremental orders and group-order participation. The model's adoption is not turned into purchases: the pilot measures orders directly.

CAVEATS
Friend data needs consent (PDPA). Chagee's tier rules in Singapore are to confirm. More orders in Chagee's own app means fewer on platforms; the commission is not sourced, so no S$ claim.

TAKEAWAY | At a **5.0%** credit, each squad member must add about **0.18** orders a month before it pays for itself (0.15 to 0.22 across the margin range), because 2.0 orders a month would earn the credit anyway. How many orders squads add is what the pilot must measure.

THANK YOU

QUESTIONS AND DISCUSSION

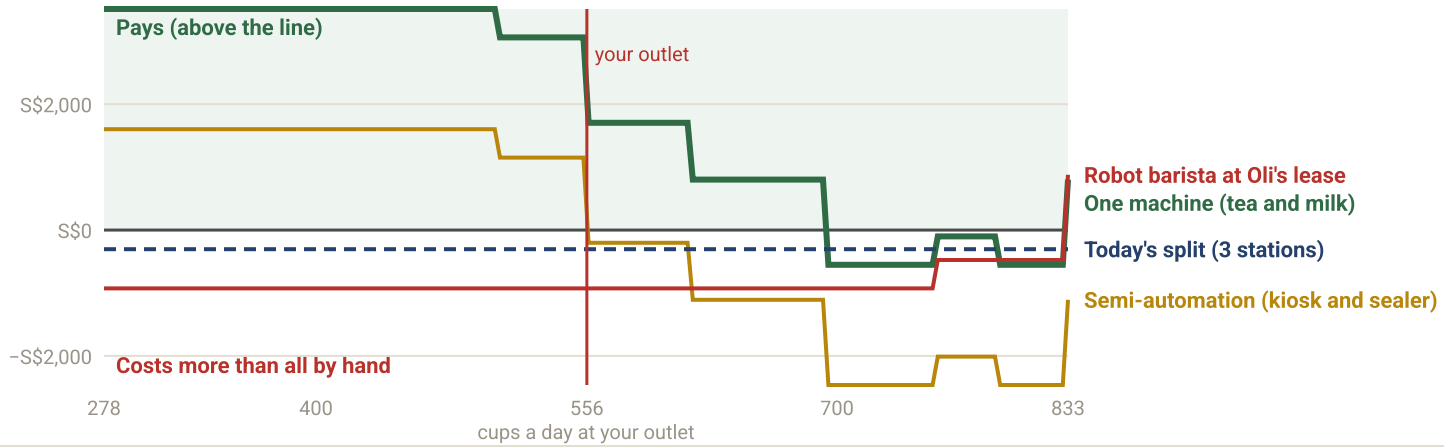
OPIM639 · GROUP 3 · KEZIAH, JIN, AYUMI, REVAN



A machine pays only when it removes a person-shift for less than the shift costs

To our knowledge, based on public sources; vendor list prices, not cost to implement. Chagee's equipment cost is not public; its Singapore relaunch used semi-automated equipment (Vulcan Post).

NET GAIN A MONTH AGAINST ALL BY HAND · ONE OUTLET



Shown at 556 cups a day, wage S$15.06 an hour, S$1,909 a month per machine unit (sliders on screen).

	1 Semi-automation	2 Beverage platform	3 Milk-tea machine	4 Robot arm	5 Robot barista
	Gong Cha Singapore	Gong cha Super Wu	Amacha, one shop	Richtech ADAM	Oli; coffee-first
	Not disclosed	*Not disclosed*	S$10,000 to buy	*Not disclosed, rental only*	US$4,990/mo lease
	PRESS	COMPANY CLAIM	PRESS	VENDOR PAGE	VENDOR PAGE

The model's S$1,909 a month is per station unit (our reading: a semi-automated station). Semi-automation and the beverage platform are priced at it because their real prices are not disclosed; robot prices are per setup. Full table and sources in the appendix.

START HERE

One machine on the tea and milk

+S$1,706 a month vs all by hand

Saves 8 person-hours a day (S$3,614 a month) for one S$1,909 unit. Simple payback, if it lets the roster drop one person-shift: 2.8 months on Amacha's S$10,000.

WATCH

Today's 3-station split

−S$305 a month vs all by hand

Saves 12 person-hours a day (S$5,422) but pays for 3 units (S$5,726).

WAIT FOR VOLUME

Robots: arm or barista

757+ cups a day before they save more labour than today's split (labour only, not a cost break-even)

At 556 cups, Oli's lease (S$6,350) is S$928 a month worse; a robot setup would need to cost under S$5,422 a month. The arm's price is not disclosed.

Model assumption that drives all three: minimum crew 2 by hand, 1 with machines, off-peak. Station speeds are the model's, not vendor claims. Rosters step in whole people, so results flip with volume and wage.

WITHOUT AI
our assumed baseline

All by hand at 556 cups a day: **24 person-hours** a day, **S$10,843** a month of labour.

WITH AI
our proposal

One tea-and-milk machine: **16 person-hours** a day, **+S$1,706** a month after its unit cost. A robot setup (four stations on machines) starts to save more labour than today's split at about 757 cups a day; labour only, not a cost break-even.

Per outlet, about 61 orders kept on an event day and 5 on a busy day; on an illustrative calendar, S$7,539 of revenue a year

Modelled avoided costs on stated assumptions, not demonstrated savings, against an illustrative baseline, not Chagee's operations. Economic rule for the headline figures. Peak hour only; conservative. Prices to our knowledge, based on public sources.

Profit a year, 44 outlets: **S$1.09m** = counter automation, physical AI **S$1.04m** (depends on the minimum-crew rule) + forecast roster, predictive AI **S$0.05m** | Without / with the minimum-crew rule: **S$0.37m to S$1.09m**

ONE OUTLET AT 556 CUPS A DAY · BOTH LEVERS, ONE RUN

EVENT DAY
61 orders kept
Revenue S$358 (× S$5.90) · profit S$241
Counter: labour saved − machine S$27

BUSY DAY
5.4 orders kept
Revenue S$32 (× S$5.90) · profit S$76
Counter: labour saved − machine S$57

NORMAL DAY
0.2 orders kept
Revenue S$1 (× S$5.90) · profit S$58
Counter: labour saved − machine S$57

A YEAR	PER OUTLET	44 OUTLETS, IF ALL LOOKED LIKE THIS MODEL
Orders kept peak hour, busy and event days	**1,278** range −121 to 1,452	**56,221**
Revenue orders × price	**S$7,539** range −S$832 to S$10,015	**S$331,704**
Profit margin 50%–70%: −S$754 to +S$754	S$24,660	S$1,085,027
Labour saving, counter labour saved − machine cost; shown on its own	S$20,136	S$886,005

Revenue and labour are never added: revenue is orders × price; profit is orders × price × margin, plus labour saved, minus machine cost.

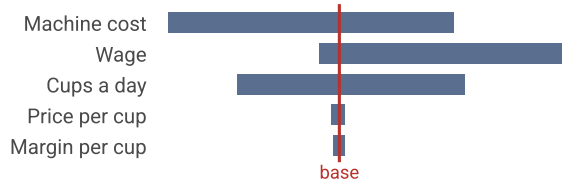
Calendar: 104 busy days (weekend days) and 11 event days (Singapore public holidays) a year: an illustrative definition, to confirm with Chagee; sliders on screen.

ORDERS · PROFIT A YEAR	WALK-AWAY RULE	ECONOMIC RULE
Forecast crew	1,242 · S$603	670 · S$1,711
Machine	888 · S$23,611	888 · S$23,611
Both, one run	**1,278 · S$24,660**	**1,278 · S$24,660**
Both, today's split counter −S$305/month	1,124 · −S$3,142	1,124 · −S$3,142

Walk-away rule: fewest people keeping peak-hour walk-aways within 2% (the forecast crew at 556 cups a day). Economic rule: add a person only when orders kept × price × margin beat the extra labour. "Both" is one run, not a sum: the levers keep many of the same orders, and with the machine the forecast crew needs fewer extra hours (−S$662 profit against the sum). Headline figures use the economic rule.

Against what
A flat normal-day roster and an all-by-hand counter. Chagee deploys people on local expertise (Chagee source, anonymous), so this baseline is ours, not Chagee's.

All inputs at their worst/best end together
Profit a year, one outlet: low **−S$15,660** · base **S$24,660** · high **S$101,166**



Fragile: the minimum crew
The counter lever rests on the model's minimum crew off-peak: 2 by hand, 1 with machines. Profit a year per outlet: S$24,660 with it; S$8,395 with 1 either way.

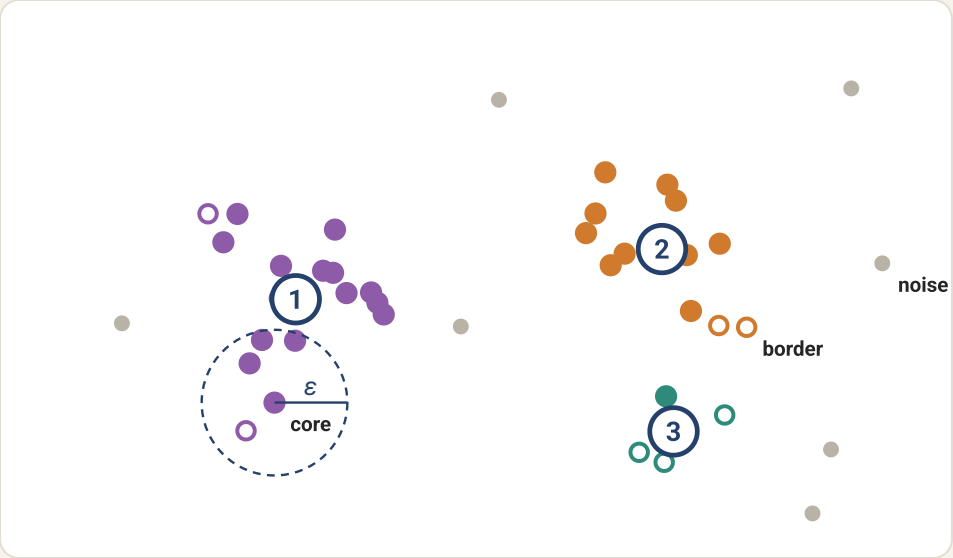
Not sized
Delivery levers (third-party; channel margins not disclosed), membership and CRM, waste (no inventory model in this deck), and the new-store site forecast (shown as cups added only).

ASSUMED BASELINE illustrative
Flat normal-day roster, all by hand: about **1,291** peak-hour orders a year walk away per outlet.

PROPOSED SCENARIO in our model
Both levers, one run: **1,278** kept a year per outlet, profit **S$1.09m** across 44 outlets (S$0.37m without the minimum-crew rule).

DBSCAN finds where searches bunch up; a proximity model turns a pin into cups

DBSCAN IN FOUR MOVES · TOY EXAMPLE



1. **Radius ε.** Two searches are neighbours if they are within ε of each other (the cluster-radius slider).
2. **Core.** A search with at least the minimum number of searches within ε (counting itself) is a core point.
3. **Grow.** A cluster spreads from core to core. Searches it reaches that are not core join as border points.
4. **Noise.** Searches no cluster reaches. Unlike k-means, nobody picks the number of clusters, and odd shapes are fine.

Unsupervised: no labels or past openings are needed. Ester, Kriegel, Sander and Xu (1996). On slide 05 it runs only on searches with no outlet within walking distance; each cluster's centre is a candidate site.

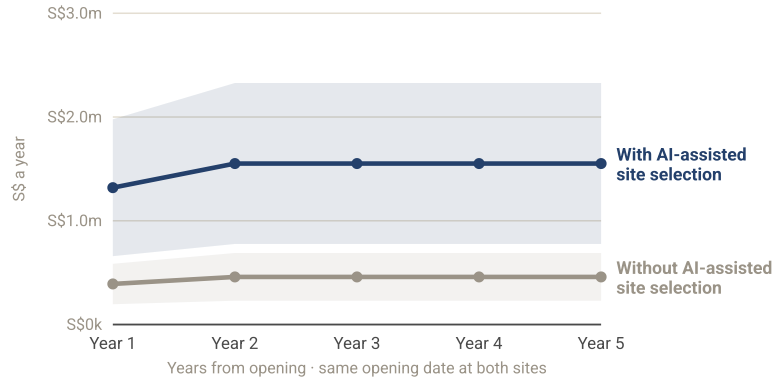
THE SIMULATED NUMBERS, IN ORDER · AT THE SLIDER DEFAULTS

1	**App searches**	Synthetic dots on land: 15% spread evenly, 35% around the outlets' malls, the rest around 20 towns	**3,000 dots**
2	**No store nearby**	The nearest outlet is further than the walking distance	**1 km · 46% of dots**
3	**DBSCAN**	Clusters the no-store-nearby dots	**ε 0.6 km · min 15 · 11 clusters**
4	**Pull of a store**	Fades with distance d: exp(−½ (d/L)²), with the length L set by the walking distance	**L = 1 km**
5	**Who buys where**	A dot buys at a store in proportion to its pull, against the pull of not buying (a store next door = one)	**not buying 0.3**
6	**Calibration**	Each dot's weight is set so the average outlet sells the deck's cups a day (cups a year ÷ open days)	**556 cups a day**
7	**Score a pin**	Cups for Chagee = what the new store sells − what it moves from nearby outlets	**top: 837 − 106 = +731**
8	**Verdict**	Share of the new store's cups that are new to Chagee	**strong ≥ 60% · weak < 40%**
9	**Opening roster**	Peak-hour cups ÷ cups one person handles, with the safety margin	**one per 83 cups**

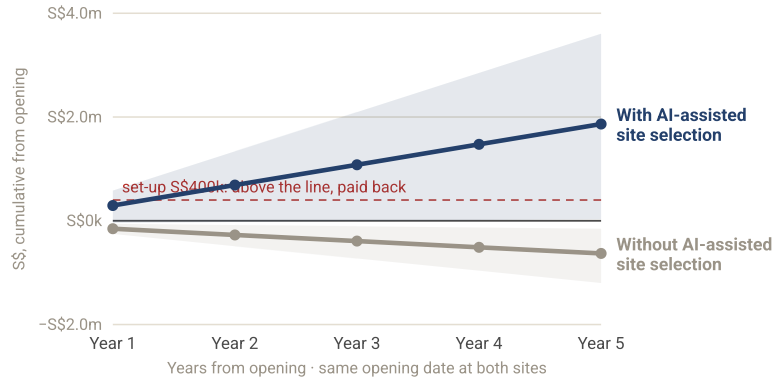
All synthetic: the dots, towns and weights are assumptions on the team's map (not to scale), not Chagee app logs or population data. With real app logs, steps one and two change; the rest runs unchanged.

Same new outlet, same opening, same counter: the AI site adds about S$2.5m more operating profit over 5 years, in our model

ANNUAL INCREMENTAL REVENUE TO CHAGEE, S$



CUMULATIVE INCREMENTAL OPERATING PROFIT, S$



THE BRIDGE, FIVE-YEAR TOTALS, BASE SCENARIO

5 YEARS, BASE SCENARIO	WITHOUT AI · +216	WITH AI · +731	DIFFERENCE
New-store sales	S$6.2m	S$8.6m	S$2.4m
− Sales displaced from nearby Chagee outlets	−S$4.0m	−S$1.1m	S$2.9m
= Net additional network sales (incremental revenue)	**S$2.2m**	**S$7.5m**	**S$5.3m**
− New-store ingredients, packaging and delivery commission	−S$3.1m	−S$4.2m	−S$1.2m
− New-store labour (same staffing rule)	−S$325k	−S$412k	−S$87k
− Machines, rent, utilities, maintenance	−S$1.4m	−S$1.4m	S$0k
+ Nearby outlets' variable costs saved (their rent and staff stay)	S$2.0m	S$537k	−S$1.4m
− AI recurring cost (allocated)	S$0k	−S$120k	−S$120k
= Incremental operating profit, before depreciation, interest and tax	**−S$630k**	**S$1.9m**	**S$2.5m**

Illustrative scenarios on our assumptions, not a demonstrated causal gain from AI. DBSCAN finds the search clusters; the assumed demand model estimates the sales. Shaded: the scenario range (our per-outlet volume range), not a confidence interval.

5-YEAR RESULTS · BASE · ILLUSTRATIVE

Revenue uplift	S$5.3m
Operating-profit uplift	S$2.5m
Payback, with AI	1.4 years
Payback, without AI	beyond year 5

Cumulative cash flow after the S$400k set-up (AI site S$460k). AI cost repaid in 2 months. Volume range: S$1.2m to S$3.8m profit uplift.

ASSUMPTIONS · S$ · REUSED UNLESS MARKED NEW

360 days · S$5.90 a cup, held flat · ingredients and packaging 40%
delivery 30% of cups at 30% · wage S$15.06 an hour, same staffing rule
rent S$15,000, utilities S$2,500, maintenance S$800 new a month · same machines
year-one ramp-up 85% new · growth 0.0% new · cost inflation 0.0% new
AI S$60k to build, S$24k a year, 100% on this outlet new · set-up S$400k, outside operating costs

TAKEAWAY

Beside the nearest outlet: **+216** net cups a day → about **S$2.2m** of network sales over 5 years, and **−S$630k** operating profit: the contribution lost at its neighbours outweighs what it makes. With AI-assisted site selection: **+731** net cups a day → about **S$7.5m** and **S$1.9m** after the AI costs: **S$2.5m** more profit than the baseline. Illustrative, not a proven causal gain.

Every rung, every price as published, and where it comes from

To our knowledge, based on public sources. Physical AI: automation and machines. A gap is "not disclosed", never a guess.

RUNG	EXAMPLE	AUTOMATES · STEPS ON MACHINES (OUR MAPPING)	VENDOR LIST PRICE	CLAIMS (NOT MODEL INPUTS)	RELIABILITY	SOURCE
1 **Semi-automation**	Gong Cha Singapore	Sugar dispensers, cup sealers, self-order kiosks. **Order and tag, Shake and seal**. Kiosk = order and tag, sealer = shake and seal. Sugar dispensing sits inside tea and milk, so it is not modelled.	*Not disclosed*	Over 20% productivity from self-ordering; 5% manpower saving (no baseline given)	PRESS	https://www.ntuc.org.sg/uportal/news/Technology-Brewing-Up-the-Bubble-Tea-Business/
2 **Beverage platform**	Gong cha Super Wu (Feb 2026)	Dispenses tea, sweeteners and syrups; brewing and shaking stay manual. **Tea and milk**	*Not disclosed*	Up to 65% higher peak productivity	COMPANY CLAIM	https://marketech-apac.com/gong-cha-launches-gong-cha-2-0-to-modernise-global-operations-and-store-design/
3 **Single automated milk-tea machine**	Amacha (one small shop, owner interview)	Makes the milk tea itself. **Tea and milk**	S$10,000 to buy	The shop's total opening cost was S$209,000 (not a machine cost)	PRESS	https://www.malaymail.com/news/life/2026/10/05/opening-a-milk-tea-shop-in-singapore-can-rack-up-to-s209000-even-before-the-first-cup-is-poured/237715
–	**Our scenario: today's split**	**Order and tag, Tea and milk, Shake and seal**. A scenario of ours (slides 06 and 07), not Chagee's disclosed setup	Model: S$1,909 a month per station unit		OUR ASSUMPTION	assumptions.json
4 **Robot arm that makes boba**	Richtech ADAM	Cup, ice, tea, toppings and sealing by one robot arm. **Cup and ice, Tea and milk, Toppings, Shake and seal**	*Not disclosed*. Rental only; price not published	–	VENDOR PAGE	https://richtechrobotics.com/solutions/adam
5 **Robot barista**	Oli	A whole drink station in one unit. **Cup and ice, Tea and milk, Toppings, Shake and seal**. Coffee-first. No tea drinks listed for Oli or Artly.	US$59,000 (≈ S$75,078) to buy; US$4,990 (≈ S$6,350) a month lease	–	VENDOR PAGE	https://olirobotics.com/best-robot-barista
	Artly		US$68,000–88,000 (≈ S$86,530–111,980) to buy; US$2,500–4,000 (≈ S$3,181–5,090) a month lease; US$2,500–4,000 a month software Oli's estimate of a competitor. The figures as given do not say whether the lease replaces or adds to the purchase, so no verdict is computed.	–	VENDOR PAGE	https://olirobotics.com/best-robot-barista
	Cafe X		US$250,000 (≈ S$318,125) to buy Oli's estimate of a competitor's price.	–	VENDOR PAGE	https://olirobotics.com/best-robot-barista
–	**Chagee Singapore**	Chagee's own equipment cost is not public. Its Singapore relaunch used semi-automated equipment.	*Not public*	–	PRESS	https://vulcanpost.com/872176/chagee-singapore-comeback-after-sudden-exit/

Vendor list prices, not cost to implement: installation, training, maintenance, power, space and import are not included; USD converts at S$1.2725 per US$. **Simple payback** = list price ÷ labour saved a month, with no maintenance or financing. **The model's S$1,909 a month** is per station unit: our reading: one semi-automated station unit (for example a dispenser or a cup sealer), amortised with upkeep. Not a robot barista lease; robot prices in machine_tiers.json are per setup. **Vendor speed and throughput claims** are listed, never used: every rung runs at the model's station speeds. **Steps on machines** is our mapping. Artly and Cafe X prices are Oli's estimates of competitors.

Where every number comes from

FACTS QUOTED

Outlets in Singapore: 44. Store count used on the storyboard deck. The doc also cites 46 (VnExpress, earlier); the later directory count is used. *[L-sg-directory]*

Franchise share of FY2025 net revenue: 0.88. Secondary source; flagged wherever shown. *[L-koalagains]*

Company-owned share of FY2025 net revenue: 0.12. Secondary source; flagged wherever shown. *[L-koalagains]*

Registered members, group-wide, end of June 2026: 257000000. Company statement on the Q2 2026 earnings call (COO, interpreted). Group-wide, not Singapore. Membership is on Chagee's mobile mini program (L-chagee-q1-2025). *[L-chagee-q2-2026-call]*

Orders from members with two or more purchases, group-wide (more than): 0.78. Company statement on the Q2 2026 earnings call. A floor ('more than 78%'). Group-wide, not Singapore. *[L-chagee-q2-2026-call]*

SOURCES

L-sg-directory Chagee Singapore store directory, mapped by the team (44 locations, checked 15 Oct 2026); Mothership, Sep 2026, https://mothership.sg/2026/09/chagee-more-heartland-stores-singapore-eugene-lee/ gives the same count. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-koalagains KoalaGains, 'CHA business and moat', https://koalagains.com/stocks/NASDAQ/CHA/business-and-moat (SECONDARY - flag when used): FY2025 net revenue about 88% from the franchise (master franchise) model and about 12% from company-owned stores, the latter growing fastest. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-yfchuhai YF Chuhai, https://www.yfchuhai.com/article/9751.html: Chagee's leaf supply chain is in China; it sources only two ingredients locally, fresh milk and fruit. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-sec20f Chagee Holdings Form 20-F for FY2025, SEC EDGAR, https://www.sec.gov/Archives/edgar/data/2013649/000110465926050766/cha-20251231x20f.htm: separate centralized and regional warehouses to lower storage and logistics costs. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-unsw UNSW BusinessThink, Oct 2024: Chagee semi-automation, baristas scan a QR code and the machine dispenses the formulation. (brief.md section 9)

I-chagee-contact CHAGEE SOURCE, ANONYMOUS (Oct 2026): a Chagee source who asked not to be named; do not identify them. Four points only: whether Singapore outlets are owned, a joint venture or franchised does not matter for this work, because the data sits in one system; Singapore outlets run under one company and one data system; all delivery is via third-party apps; people are deployed on local expertise: the GM and outlet teams make the staffing calls.

I-sg-groundfloor INFORMAL - quote in the team's ideation doc (Chagee Singapore's Lee: 'Whenever you see a Chagee, it's always on the first floor'; kiosk-style outlets in basements and MRT stations at entry in 2019). The article is not named in the doc; confirm the source before quoting.

I-team-app-first INFORMAL - team observation in the ideation doc: Chagee Singapore sells mainly through its app, with minimal order kiosks in outlets. Confirm before citing. SUPERSEDED on slide 01 (22 Oct 2026) by P-appstore, P-vulcanpost-comeback and L-sec20f-data; the app's share of orders stays to confirm.

L-ester1996 Ester, M., Kriegel, H.-P., Sander, J. and Xu, X. (1996). A density-based algorithm for discovering clusters in large spatial databases with noise. Proceedings of the Second International Conference on Knowledge Discovery and Data Mining (KDD-96), 226-231. The DBSCAN algorithm used on slide 05.

P-honeycombers PRESS - in-store sightings, indicative. Honeycombers (Feb 2026), https://thehoneycombers.com/singapore/china-bubble-tea-brand-singapore/ : Chagee price sightings in Singapore; not a current full menu.

P-eatbook PRESS - in-store sightings, indicative. Eatbook (Aug 2024), https://eatbook.sg/?p=168476 : Chagee price sightings in Singapore; not a current full menu, and older than the deck.

I-team-expansion INFORMAL - team research (Oct 2026): Chagee is looking to expand rapidly in Singapore; how many stores it is going for is confidential. Singapore only. Confirm before citing.

I-team-site-framework TEAM WORK (Oct 2026): Jin's site-selection framework, two team slides ('Four Scores for Every Location', 'From Pin to Profit Forecast'): four scores per pin, six steps from a pin to a go / no-go on profit net to Chagee. Used for slides 08 and 09 (extension). Its example values and outlet names are not used; ours are illustrative.

L-chagee-q2-2026-call Chagee (CHA) Q2 2026 Earnings Call, full transcript, TradingKey, 29 Aug 2026 (local copy: 'Chagee (CHA) Q2 2026 Earnings Call_ Profit Margin Improves as Overseas GMV Doubles.pdf', supplied by the team). COO's remarks, interpreted: 'As of the end of June, our total registered members reached 257 million. The repurchase rate among active members remain above 43%, while members who made 2 or more purchases accounted for more than 78% of total orders.' Group-wide, not Singapore. The page's AI summary is not used; the quote is from the transcript.

L-chagee-q1-2025 Chagee Holdings, 'Chagee Announces First Quarter 2025 Unaudited Financial Results', GlobeNewswire, 30 May 2025 (local copy supplied by the team; the team's link https://investor.chagee.com/node/6736/pdf blocks automated access, so not checked by us). 'Chagee's Mobile Mini Program had a total of 192.4 million registered members as of March 31, 2025'; active members = registered members who placed an order at least once in a period. Shows that membership sits on Chagee's ordering app. Group-wide.

P-appstore CHAGEE app, App Store listing (team research, Oct 2026; no link supplied, not checked by us): 'Order and pay digitally', 'Order for self-pickup ahead of time', 'Locate our outlets and their operating hours'. The listing seen was the Saudi storefront; its privacy-policy URL includes 'SGMY' (our reading: Singapore and Malaysia, an inference). Privacy label: Precise Location under 'Data Not Linked to You'; search history not listed.

P-vulcanpost-comeback PRESS - Vulcan Post, Jayme Teo, 2 Oct 2024, https://vulcanpost.com/872176/chagee-singapore-comeback-after-sudden-exit/ : after the reopening, with some customers 'waiting for as long as an hour to receive their orders', 'the brand rolled out in-app ordering and delivery and constantly upgraded the ordering process.' Its 'kiosks' are a store format ('pivoting from their takeaway kiosks for comfortable dine-in, sit-down tea bars'), not ordering kiosks. Quotes checked by us, 22 Oct 2026.

L-sec20f-data Chagee Holdings Form 20-F for FY2025 (same filing as L-sec20f), risk factors: 'Our business generates and processes personal, transactional and other data.' and 'we may not be able to use our membership program to deepen our understanding of our target consumers.' No share of orders by app or mini program, and nothing on search or location data, in the parts we read. Quotes checked by us, 22 Oct 2026.

L-sec20f-member Chagee Holdings Form 20-F for FY2025 (same filing as L-sec20f), Item 3.D risk factor 'We may not be successful in expanding our membership and our ability to take advantage of our membership program may be limited.' Both quoted sentences checked word for word by us against the SEC EDGAR filing, 22 Oct 2026.

C-topic8 OPIM639 course slides, Topic 8 (slides08 Service Platforms), slides 30-36: the economy with network effects, r(x) = 1 - x, f(z) = z, equilibria z' and z". Slide 34 quoted word for word, checked by us against the course file, 22 Oct 2026.

I-chagee-contact-tiers Informal source, anonymised, to confirm: a Chagee staff member, paraphrased, not quoted. The barrier to levelling up is not outlet operations; it is whether customers think the effort of tiering up is worth it.

ASSUMPTIONS (ASSUMPTIONS.JSON, ILLUSTRATIVE)

Cups per outlet per year: 200000 cups/store/year

Share of the day's cups in each open hour: 0.04, 0.06, 0.1, 0.11, 0.08, 0.08, 0.09, 0.1, 0.1, 0.09, 0.08, 0.07 share of daily cups per open hour (10:00 to 22:00), sums to 1

Busy and event day multipliers: none 1, moderate 1.5, large 2.5 x forecast arrival rate

Busiest hours the multiplier lands on: 2 busiest forecast hours that get the surge

Seconds per cup by hand, per station: ticket 5, cup ice 10, tea milk 15, topping finish 12, shake seal 10, handover 8 seconds of one average worker per cup

Seconds per cup by robot, per station: ticket 2, cup ice 8, tea milk 10, topping finish 15, shake seal 8, handover 6 seconds per cup per machine unit

Stations the robots do today: ticket, tea milk, shake seal

Spread of worker speeds: 0.2 +/- share around average speed

Minute-to-minute variation in pace: 0.25 coefficient of variation, minute to minute

Every Australian input is a scenario assumption

STATUS

Australia worked example, kept separate from every other section: nothing here feeds slides 01-11 and nothing in them is changed. Every Australian input is a scenario assumption; no Australian data has been retrieved for this deck. Archetype areas stand in for real suburbs until Census and market data are pulled. Market status: no local Chagee operating history (assumed for this worked example).

CANDIDATE AREAS (ARCHETYPES, SCENARIO ASSUMPTIONS)

A · CBD office core: residents within 1 km 12, workers within 1 km 90, tertiary students within 1 km 15, household income index 115, transit access 0.95, competitors within 500 m 9, rent, a$ a month 22000

B · University precinct: residents within 1 km 18, workers within 1 km 20, tertiary students within 1 km 40, household income index 80, transit access 0.75, competitors within 500 m 6, rent, a$ a month 12000

C · Suburban rail interchange: residents within 1 km 25, workers within 1 km 12, tertiary students within 1 km 5, household income index 95, transit access 0.7, competitors within 500 m 4, rent, a$ a month 10000

D · Outer-suburb shopping centre: residents within 1 km 20, workers within 1 km 5, tertiary students within 1 km 2, household income index 90, transit access 0.35, competitors within 500 m 2, rent, a$ a month 8000

FEATURES AND WHERE REAL VALUES WOULD COME FROM (NONE RETRIEVED)

Residents within 1 km: stands in for walk-in demand from people living nearby; source to pull: national census, usual residents by small area.

Workers within 1 km: stands in for weekday lunch and after-work demand; source to pull: census place-of-work counts.

Tertiary students within 1 km: stands in for the young, app-first customer base; source to pull: university and TAFE enrolment by campus.

Household income index: stands in for willingness to pay for a premium tea; source to pull: census median household income.

Transit access: stands in for footfall past the counter; source to pull: public-transport timetable data, services per hour at the nearest stops.

Competitors within 500 m: stands in for rival bubble-tea and cafe supply (lowers the score); source to pull: business listings or a map-places count.

Rent, A$ a month: stands in for local cost (lowers the score); source to pull: retail lease listings or an agent quote.

Left out: chagee app searches nearby (needs Chagee app users in the market); delivery orders from the area (needs Chagee on the local delivery platforms); distance to the nearest chagee outlet (there is none yet); sales of existing chagee outlets nearby (there are none yet). They need existing Chagee activity. Missing is unknown, not zero: they are left out, never set to zero, so no area is marked down for a gap every area shares.

INPUTS (ASSUMPTIONS.JSON NEW_MARKET)

weights: residents k 1, workers k 1, students k 1, income index 0.5, transit index 1, competitors 0.5, rent month 0.5 relative weight per feature in the suitability score (0-2) (range 0, 2). Our judgement, illustrative. Slide 8B lets you move each; the sensitivity check re-ranks with each weight set to zero and doubled.

sensitivity: low 0, high 2 multipliers applied to one weight at a time. One-at-a-time sensitivity: each weight times zero (dropped) and times two; the rank range is reported per area.

demand scenarios: store.cups per store per year range and value / store.open days per year cups a day: low, base, high. Placeholder scale only: the Singapore per-outlet volume assumption (itself an assumption, not Chagee data) reused for every Australian area. The score does not set cups: without a calibration from real outlets, every area faces the same range.

forecast error: -0.3, 0, 0.3 share by which the pre-opening forecast misses realised cups a day (range -0.5, 0.5). Scenario assumption: before opening, the forecast cannot know actual demand. Under-forecast, exact, over-forecast.

day mix: moderate 104, large 12 busy and event days a year; the rest of store.open_days_per_year are normal days. Scenario assumption for the Australian pilot: busy days = weekend days; event days = a guess at local public holidays and events, not counted. Weights the year-average contribution on slide 8C.

wage per hour: 36 AUD per hour worked, fully loaded (range 30, 45). Scenario assumption, not sourced. Replace with the applicable award rate plus on-costs before use.

machine cost per unit per month: 2000 AUD per station machine unit per month (range 700, 4000). Scenario assumption, not sourced; the Singapore figure is also an assumption and no exchange rate is applied.

price per cup: 8.5 AUD per cup, in store (range 7, 10). Scenario assumption, not sourced. Check menu prices in the pilot city.

utilities per month: 3000 AUD per outlet per month (range 2000, 4500). Scenario assumption, not sourced.

setups: all hand, heading storyboard.split_presets keys compared. Human-only against machine-made drink, as on slide 07; same station speeds and staffing rule (sim/counter.js).

cannibalisation: overlap km 5, max share 0.3 for a second opening: share of a new outlet's cups taken from the pilot, falling linearly to zero at overlap_km. Scenario assumption. Zero for the first opening: no Chagee outlet is in any catchment.

trigger weeks: 4 consecutive weeks a pilot signal must hold before acting. Our judgement, illustrative.

currency: AUD . Every money figure on slides 8A-8D is in Australian dollars (A$). No exchange rate is applied to any Singapore figure.

Reused from the Singapore sections, labelled where used: gross margin per cup (storyboard), the per-outlet volume range (store) as the placeholder demand scale, open hours and days, the hourly demand shape, day-type multipliers, station seconds, staffing rule and minimum crews (sim/counter.js, unchanged).

METHOD (SIM/NEWMARKET.JS)

Score: each feature min-max scaled across the areas (turned round for competitors and rent), weighted mean out of 100. **Sensitivity**: each weight dropped, then doubled, one at a time. **Counter**: equipment sized for the base scenario; realised demand reaches the peak hour as a multiplier on the base arrivals; without AI, one crew all day, set for a normal day's planned peak; with AI, the forecast roster for the day type, the forecast missing realised demand by the stated error. **Contribution**: served cups x price x margin, less labour, machine units, rent and utilities, a day; the peak-hour walk-away share is applied to the busiest hours, other hours assumed served. **Worst case**: the lowest year-average contribution over demand scenarios and forecast errors, with AI staffing.

CLAIMS WE DID NOT MAKE

No Australian data and no Chagee data are used. The areas are archetypes, not suburbs. The score is not a sales forecast; the slide 08b model is not validated for Australia. No figure on slides 8A to 8D feeds slides 01 to 11 or the benefit.

From one customer's rule to the tipping point, and how far a friend network moves it

DERIVATION (OPIM639 TOPIC 8, SLIDES 30 TO 36)

Customer x in (0, 1) has interest r(x) = 1 - x. With a share z of friends participating, x joins if r(x) k z >= p, that is x <= 1 - p/(k z): the share who would join is 1 - p/(k z). An equilibrium is a share that reproduces itself, z = 1 - p/(k z), which gives **p = k z (1 - z)**. This hump is the equilibrium curve of the population; one customer's benefit is r k z, a straight line in z.

The hump peaks at k/4, at z = 50%. If p < k/4 the effort line crosses it twice: **z' = (1 - sqrt(1 - 4p/k))/2**, the unstable tipping point, and **z" = (1 + sqrt(1 - 4p/k))/2**, the stable level. At p = k/4 they merge at 50%; above it there is no positive equilibrium and participation falls to zero from any start. Rounds: z_next = max(0, min(1, 1 - p/(k z))).

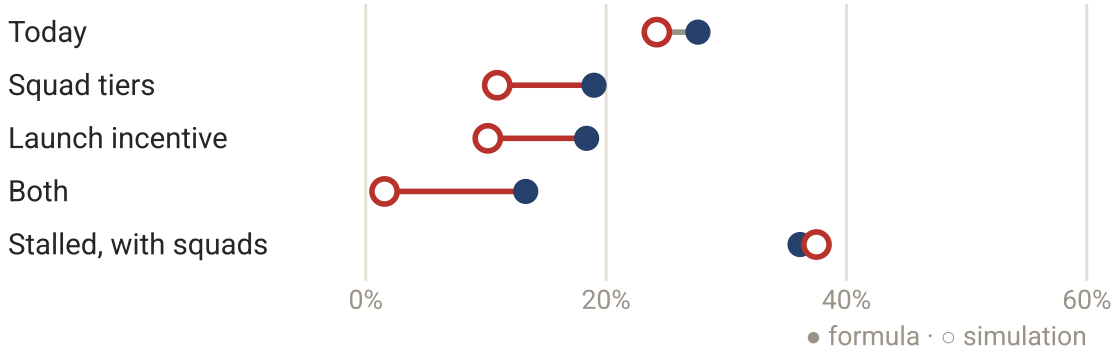
PARAMETERS (ILLUSTRATIVE INDEX, NOT CHAGEE DATA)

r individual interest, 0 to 1, uniform across customers. **k** value of friends participating; squads are hypothesised to raise it. **z** share of a customer's friends participating. **p** effort score of joining or progressing, 0 to 1: 1 is the whole benefit a fully interested customer gets with every friend on at k = 1; not money. Slider defaults: p 0.2, k 1, incentive 0, z0 0.35. Levers, read from the scenario table: squads add 0.3 to k; a launch incentive takes 0.05 off p.

SCENARIO TABLE, COMPUTED (SIM/MEMBERS.JS); THE BUILD FAILS IF IT DIFFERS FROM MEMBERS.EXPECTED_TABLE

Scenario	p	k	4p/k	z'	z"
Today	0.20	1.0	0.80	28%	72%
Squad tiers	0.20	1.3	0.62	19%	81%
Launch incentive	0.15	1.0	0.60	18%	82%
Both	0.15	1.3	0.46	13%	87%
Stalled app	0.30	1.0	1.20	none	none
Stalled, with squads	0.30	1.3	0.92	36%	64%

NETWORK CHECK · CLOSED FORM AGAINST THE FRIEND-NETWORK SIMULATION



Scenario	Closed form z'	Simulated	Gap, points
Today	28%	24%	-3.4
Squad tiers	19%	11%	-8.1
Launch incentive	18%	10%	-8.2
Both	13%	2%	-11.7
Stalled app	none	none	
Stalled, with squads	36%	38%	+1.4

2,000 customers on a seeded random graph with about 8 friends each, interest uniform; a customer is on next round if r k (share of friends on) >= p. 20 seeded runs; the simulated tipping point is the smallest starting share (to 0.01) from which the mean run ends above 10%. Gaps above five points mean the friend-group structure matters: with a handful of friends each, pockets of friends keep each other on, so the network tips lower than the formula, which assumes everyone sees the whole population's share. We report the gap, not hide it.

The break-even across the margin range, every new input, and what the sources say

BREAK-EVEN OF THE GROUP-ORDER CREDIT

Contribution per member a month = price x (margin x E - credit x (B + E)), with E extra orders and B group orders a member would place anyway. Break-even E* = credit x B / (margin - credit); none if the credit reaches the margin. Price S$5.90, credit 5%, B 2, E 1.

Gross margin	Extra orders needed a month	Contribution a member a month at E
50%	0.22	S$2.06
60%	0.18	S$2.65
70%	0.15	S$3.24

NEW INPUTS (ASSUMPTIONS.JSON MEMBERS; ASSUMPTION, NOT CHAGEE DATA)

group credit share: 0.05 (range 0, 0.1). New input, assumption, not Chagee data.

extra orders per member month: 1 (range 0, 3). New input, assumption, not Chagee data.

base group orders per member month: 2 (range 0, 6). Invented for the break-even (the credit is paid on orders that would have happened anyway); assumption, not Chagee data.

squad size: 2, 6. Our proposal, a design choice, not a Chagee feature claim.

example interest: 0.5. Display only: a middling customer, to separate one customer's benefit from the equilibrium curve.

app rules: points own drink 10, points per squad drink 5, points now 220, points next 300, tier now Silver, tier next Gold, people Mei, Jun, Aisha, Ravi, squad name Lunch squad. Our illustrative rules for the proposed experience, used consistently on slide M2. Not Chagee's membership rules, which are to confirm. The group-order credit is members.group_credit_share. No real messages, purchases or accounts.

network: customers 2000, friends per customer 8, runs 20, max rounds 200, z0 step 0.01, takeoff share 0.1. Assumption: eight friends each, a squad plus a few more. The closed form assumes everyone sees the whole population's share; a friend group sees a noisy sample of it.

SOURCE EXCERPTS · QUOTED WORD FOR WORD

> "we cannot accurately predict the rate or range of consumers who will join our membership program"
>
> Chagee Form 20-F, FY 2025, Item 3.D, risk factors

> "we may not be able to use our membership program to deepen our understanding of our target consumers"
>
> Chagee Form 20-F, FY 2025, Item 3.D, same risk factor

> "The value z′ is the hump the firm must get over in order to succeed."
>
> OPIM639, Topic 8, Service Platforms, slide 34

> INFORMAL SOURCE, ANONYMISED, TO CONFIRM
>
> Paraphrased, not quoted: the barrier to levelling up is not outlet operations; it is whether customers think the effort of tiering up is worth it.